

1.1.4 Infrastructure Development Bank

Meaning

An **Infrastructure Development Bank** is a specialized financial institution that provides **long-term finance, investment, and financial services for large-scale infrastructure projects.**

Infrastructure Development Bank भनेको देशको **economic and social infrastructure** निर्माणका लागि आवश्यक ठूलो तथा **long-term capital** जुटाउने **specialized financial institution** हो।

यसले सामान्यतया निम्न क्षेत्रमा लगानी तथा financing गर्छ:

- Hydropower and renewable energy
- Roads and transportation
- Airports
- Urban infrastructure
- Information technology infrastructure
- Industrial infrastructure
- Tourism infrastructure
- Healthcare infrastructure
- Public–Private Partnership (PPP) projects

Infrastructure Development Bank in Nepal

नेपालमा **Nepal Infrastructure Bank Limited (NIFRA)** infrastructure development मा केन्द्रित पहिलो national-level infrastructure development bank हो। यो **8 June 2018** मा registered भएको थियो, **11 February 2019** मा Nepal Rastra Bank बाट operating license प्राप्त गर्‍यो र **6 March 2019** बाट formal operation सुरु गर्‍यो।

Nepal Infrastructure Bank Limited

NIFRA को मुख्य उद्देश्य **infrastructure financing gap** कम गर्नु र **economically viable infrastructure projects** मा **long-term investment** बढाउनु हो। यसले equity, debt, structured funds तथा bonds जस्ता स्रोतबाट capital mobilize गरी infrastructure projects मा लगानी गर्ने लक्ष्य राख्छ।

Main Objectives

1. Long-Term Infrastructure Financing

Infrastructure projects निर्माण गर्न धेरै वर्ष र ठूलो capital आवश्यक हुन्छ।

Example:

एउटा hydropower project को निर्माणमा धेरै वर्ष लाग्न सक्छ र ठूलो investment चाहिन्छ। यस्तो project लाई long-term loan आवश्यक पर्छ।

Infrastructure Bank → Long-Term Finance → Infrastructure Project → Economic Development

2. Infrastructure Financing Gap कम गर्नु

नेपालमा infrastructure development का लागि आवश्यक capital र उपलब्ध financial resources बीच gap हुन्छ।

यसलाई infrastructure financing gap भनिन्छ।

Example

Total Project Cost	= Rs. 1,000 million
Available Capital	= Rs. 600 million
Financing Gap	= Rs. 400 million

Infrastructure development bank ले यस्तो financing gap पूरा गर्न सहयोग गर्न सक्छ।

3. Private Sector Participation बढाउनु

Infrastructure projects मा private sector को participation बढाउनु यसको महत्वपूर्ण उद्देश्य हो।

Private sector participation भन्नाले **private companies** तथा **investors** लाई **infrastructure projects** मा सहभागी गराउनु हो।

यसले:

- Capital बढाउँछ
- Technology ल्याउँछ
- Management expertise ल्याउँछ
- Project implementation छिटो बनाउन सहयोग गर्छ

4. Public–Private Partnership (PPP) Promote गर्नु

PPP भनेको **Government** र **Private Sector** बीचको सहकार्य हो।

Example:

Government
+
Private Company
↓
Infrastructure Project
↓
Road / Energy / Hospital / Urban Project

NIFRA ले PPP model development, feasibility studies, financial modelling, risk assessment तथा transaction advisory जस्ता services पनि provide गर्न सक्छ।

Major Functions of Infrastructure Development Banks

1. Project Financing

Infrastructure banks ले large-scale projects लाई long-term loans प्रदान गर्छन्।

NIFRA का अनुसार infrastructure project financing मा 5–15+ years सम्मका long-term loans उपलब्ध हुन सक्छन्, prevailing regulations र project nature अनुसार।

Example:

एक hydropower company लाई:

- Construction cost
- Machinery
- Transmission infrastructure
- Working capital

का लागि long-term finance आवश्यक हुन्छ।

2. Project Appraisal

Loan दिनुअघि infrastructure bank ले project को detailed assessment गर्छ।

यसमा निम्न कुराहरू जाँचिन्छ:

- Technical feasibility
- Financial feasibility
- Economic viability
- Environmental impact
- Risk
- Expected income
- Repayment capacity

NIFRA ले project identification, screening, appraisal, documentation, disbursement तथा monitoring को process अपनाउने बताएको छ।

3. Capital Mobilization

Infrastructure banks ले विभिन्न स्रोतबाट capital जुटाउन सक्छन्।

Major Sources:

- Equity capital
- Debt financing
- Bonds
- Structured funds
- Domestic financial market
- International financial market

यसरी **savings and investment** लाई **infrastructure projects** तर्फ **channelize** गरिन्छ।

4. Infrastructure Investment

Infrastructure development banks ले विभिन्न sectors मा investment गर्छन्।

नेपालमा NIFRA ले निम्न sectors लाई focus गरेको छः

- **Energy**
 - **Transportation**
 - **Urban Infrastructure**
 - **Industrial Sector**
 - **Tourism**
 - **Information Technology**
 - **Public–Private Partnership**
-

5. Advisory Services

Infrastructure projects technically complex हुन्छन्। त्यसैले infrastructure bank ले financing मात्र होइन, advisory support पनि दिन सक्छ।

Examples:

- Feasibility study
 - Financial modelling
 - Risk assessment
 - PPP structuring
 - Project monitoring
 - Transaction advisory
 - Technical and economic viability study
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How an Infrastructure Development Bank Works



Practical Example: Hydropower Project

मानौं नेपालमा एउटा hydropower project को total cost **Rs. 10 billion** छ।

Financing Structure

Source	Amount
Promoters' Equity	Rs. 3 billion
Infrastructure Bank Loan	Rs. 5 billion
Other Financing	Rs. 2 billion
Total	Rs. 10 billion

Infrastructure Bank's Role

1. Project proposal प्राप्त गर्छ।
2. Technical feasibility study गर्छ।
3. Financial viability जाँच गर्छ।
4. Environmental and other risks assess गर्छ।
5. Long-term loan approve गर्छ।

6. Construction progress monitor गर्छ।
7. Project income बाट loan repayment गरिन्छ।

यसरी infrastructure bank ले **capital** → **project** → **electricity** → **employment** → **economic growth** को chain निर्माण गर्न सहयोग गर्छ।

Importance in Nepal

1. Economic Development

Roads, electricity, airports, communication तथा industries जस्ता infrastructure ले economic activity बढाउँछन्।

2. Hydropower Development

नेपालमा hydropower को ठूलो potential छ। Infrastructure bank ले energy projects का लागि long-term finance उपलब्ध गराउन सक्छ।

3. Employment Generation

ठूला infrastructure projects ले:

- Direct employment
- Indirect employment
- Local business opportunities

सिर्जना गर्छन्।

4. Regional Development

Infrastructure development ले remote तथा less-developed areas लाई national economy सँग जोड्न सहयोग गर्छ।

5. Industrial Development

Reliable:

- Electricity
- Transportation
- Communication
- Industrial facilities

भएमा industries को growth बढ्न सक्छ।

6. Private Investment Promotion

Infrastructure bank ले private investors लाई project financing र advisory support उपलब्ध गराएर private sector participation बढाउन सक्छ।

Difference Between Commercial Bank and Infrastructure Development Bank

Basis	Commercial Bank	Infrastructure Development Bank
Main Focus	General banking services	Large infrastructure projects
Loan Period	Short, medium and long term	Mainly long-term financing
Project Size	Small to large	Generally large-scale projects
Main Customers	Individuals, businesses and institutions	Infrastructure project developers
Major Areas	Trade, business, housing, personal loans	Energy, roads, transportation, urban infrastructure
Project Evaluation	General credit assessment	Detailed technical, financial and economic appraisal
Main Purpose	Banking and financial services	Infrastructure development and financing

Advantages

1. Provides Long-Term Capital

ठूला infrastructure projects का लागि long-term finance उपलब्ध गराउँछ।

2. Supports National Development

देशको physical तथा economic infrastructure विकास गर्छ।

3. Mobilizes Investment

Domestic and international capital लाई infrastructure sector मा ल्याउँछ।

4. Promotes PPP

Government र private sector बीच सहकार्य बढाउँछ।

5. Supports Employment

Infrastructure projects मार्फत रोजगारी सिर्जना हुन्छ।

6. Reduces Financing Gap

Large projects को capital requirement पूरा गर्न सहयोग गर्छ।

Challenges in Nepal

1. High Capital Requirement

Infrastructure projects मा ठूलो रकम आवश्यक हुन्छ।

2. Long Payback Period

Investment को return आउन धेरै वर्ष लाग्न सक्छ।

3. Project Risk

Infrastructure projects मा:

- Construction risk
- Financial risk
- Market risk
- Environmental risk
- Political and regulatory risk

हुन सक्छ।

4. Project Delays

Land acquisition, government approval, environmental clearance, construction तथा coordination problems का कारण project delay हुन सक्छ।

5. Limited Bankable Projects

सबै infrastructure projects financially viable हुँदैनन्। त्यसैले proper project appraisal आवश्यक हुन्छ।

Conclusion

Infrastructure Development Bank is a specialized financial institution established to mobilize and provide long-term finance for large-scale infrastructure development.

नेपालको सन्दर्भमा **Nepal Infrastructure Bank Limited (NIFRA)** infrastructure financing मा केन्द्रित पहिलो national-level infrastructure development bank हो। यसको मुख्य भूमिका **long-term project finance, capital mobilization, PPP promotion, private-sector participation** र **infrastructure financing gap** कम गर्नु हो।

Exam-Oriented Definition

An Infrastructure Development Bank is a specialized financial institution that mobilizes and provides long-term finance for infrastructure projects such as energy, transportation, urban development, industries, tourism and information technology, thereby supporting the overall economic development of a country.

नेपालमा यसको practical example: Nepal Infrastructure Bank Limited (NIFRA).

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